PRESS RELEASE | CREDIT RATING

# Viviana Power Tech Limited

Long-term rating of ACER BBB (Stable) Reaffirmed for the NCD Programme

**Rating: ACER BBB (Stable)** **Liquidity: Adequate**

## EXECUTIVE SUMMARY

RATING

**ACER BBB**

Reaffirmed

OUTLOOK

**Stable**

REVENUE, FY26

**531.25**

+142.6% vs FY25

EBITDA, FY26

**75.91**

+135.9% vs FY25

## HIGHLIGHTS AND RISKS

- Healthy Order Book Providing Revenue Visibility over FY26-FY27
- Reputed Counterparties and Experienced Management
- Steady Credit Metrics
- Moderate Scale of Operations
- Competition and Other Industry-Related Factors

## AT A GLANCE

| | |
|---|---|
| Credit strengths | 3 |
| Credit weaknesses | 2 |
| Instruments rated | 3 |
| Total rated (INR Crore) | 100.00 |

## DETAILS OF INSTRUMENTS

| Instrument/ Facility** | Date of Allotment | Coupon Rate | Maturity Date | Amount (INR Crore) | Ratings with Outlook | Regulator^ |
|---|---|---|---|---|---|---|
| Non-Convertible Debentures (NCDs) | 11-03-2026 | 12.00% | 11-03-2028 | 25.00 | ACER BBB (Stable); Reaffirmed | SEBI |
| Non-Convertible Debentures (NCDs) | 21-05-2026 | 12.00% | 21-05-2028 | 20.00 | ACER BBB (Stable); Reaffirmed | SEBI |
| Non-Convertible Debentures (NCDs): Unallocated | - | - | - | 55.00 | ACER BBB (Stable); Reaffirmed | SEBI |
| **Total Rated Limits** | | | | **100.00** | | |

*For details of instruments, please refer Annexure II

**For facility-wise lender details, please refer Annexure III

^Please refer to Annexure V containing the list of activities/instruments and their respective regulators.

## Analytical Approach

ACER continues to take a fully consolidated Viviana Power Tech Limited (VPTL) and its subsidiaries to arrive at the ratings. The subsidiaries include Viviana Engineering Private Limited (VEPL; 100% subsidiary of VPTL) and Asoj Energy Storage Systems Private Limited (AESSPL; 100% subsidiary of VPTL). The consolidation is on account of subsidiaries being in the same line of business and having common management.

Previously, Viviana Life Spaces Pvt Ltd (VLSPL; held 90% by VPTL and the remaining by promoter family and relatives) and Aarsh Transformer Private Limited (ATPL; held 75% by VPTL and remaining by promoter relatives) were also considered in the consolidated results. However, since VPTL has divested its stake in these entities, ACER will not consider them in the consolidated results.

## Brief Summary of the Rating Action

The change in analytical approach is on account of the announcement of completion of divestment of VPTL's stake in VLSPL and ATPL. This was disseminated by VPTL's management on the stock exchange on 17th August 2026. ACER had considered these companies in the consolidated results and previous analytical approach.

ACER notes that the standalone FY26 results of VPTL formed around 94% of the consolidated FY26 revenue and EBITDA, reflecting low contribution of the other 4 entities- VLSPL, ATPL, VEPL and AESSPL in the consolidated results.

The rating affirmation considers the improvement in VPTL's moderate scale of operations, characterised by healthy order inflow that provides revenue visibility over FY26-FY27. The rating is supported by the experience of the management in timely order execution. The rating considers a reputable customer profile with a large share of government clients and adequate liquidity. ACER notes that the company is progressing towards a few big orders to be executed through VPTL's subsidiaries, VEPL and AESSPL, which are incurring capital expenditure. The impact of the capex on consolidated cash flows, liquidity and financial risk profile will be a key monitorable.

## Key Rating Drivers

### CREDIT STRENGTHS

**Healthy Order Book Providing Revenue Visibility over FY26-FY27** — Strength

The company had an unexecuted order book (including GST) of around INR1,300 crore, including orders for Battery Energy Storage Services (BESS) and is 'L1' on orders amounting to INR800 crore as on July 31, 2025. The healthy order inflow orders, which was around 4 times the FY26 consolidated revenue and provides adequate revenue visibility for FY26-FY27. The order book consisted mainly of government orders across three states of Gujarat, Punjab and Rajasthan. The nature of orders comprises Battery Energy Storage Services (BESS), projects for efficiency improvement, conversion and laying of power transmission lines, turnkey projects and others.

**Reputed Counterparties and Experienced Management** — Strength

Most of the counterparties are government entities such as Paschim Gujarat Vij Company Limited (PGVCL), Gujarat Energy Transmission Corporation Limited (GETCO), Dakshin Gujarat Vij Company Limited (DGVCL), Madhya Gujarat Vij Company Limited (MGVCL), Punjab State Power Corporation Limited (PSPCL), and others. However, the realisations have been on time in the past and will remain monitorable in future. Some of the private counterparties include Adani Green Energy Limited. The reputed counterparties support timely payments and mitigate the risk of delayed collections. Most of the contracts have price variation clauses that mitigate the risks associated with the variability in raw material prices.

### Steady Credit Metrics

Strength

The FY26 consolidated credit metrics were steady over FY25-FY26. In FY26 consolidated results, the interest coverage ratio (EBITDA/gross interest expense) was 7.75x (FY25: 8.58x) and the net adjusted leverage (net adjusted debt/ EBITDA) was 1.30x (FY25: 1.55x). The credit metrics are expected to be stable on account of improved profitability and concurrent increase in debt. ACER will monitor the progress of the planned debt-funded capital expenditure of around INR 240 crore for BESS projects at VEPL and AESSPL, and its impact on the consolidated credit metrics. The capex is expected to be funded by debt of INR 215 crore and the remaining by promoter contribution.

## CREDIT WEAKNESSES

### Moderate Scale of Operations

Weakness

The consolidated scale of operations was moderate in FY26, with revenue of INR 531.25 crore (FY25: INR 218.96 crore) and EBITDA of INR 75.91 crore (FY25: INR 32.18 crore). The EBITDA margin was largely consistent between 14-15% during FY25-FY26. ACER notes that the working capital requirements for the operations of VPTL are high, given the counterparties and the nature of the industry. The high receivables are expected to be recovered towards the year-end.

### Competition and Other Industry-Related Factors

Weakness

The consolidated operations are open to competition, especially from the unorganised players. The prices may be constrained given the fragmented nature of the industry and tender-based operations and may impact the EBITDA margin of the company. The operations will remain vulnerable to shutdown due to a lack of power to carry out operations, other external circumstances, including environmental and regulatory clearances, land clearances, and others.

## Liquidity Indicator: Adequate

Liquidity is adequate and supported by the cushion available in the fund-based and non-fund-based limits. The average utilisation of its working capital limits-fund-based and non-fund-based for the last 12 months ended July 2026 was around 80% and 30%, respectively. The free cash balance was around INR 1.63 crore as on March 31, 2026. Liquidity will be monitored in the event of any large debt-funded capex or lower-than-expected execution of the order book that may impact liquidity.

## Applicable Rating Criteria

- Rating Criteria for Consolidation of Companies
- Rating Criteria for Financial Ratios for the non-financial sector
- Rating Criteria for the infrastructure sector companies
- Policy for Default Recognition
- Disclosure on Rating Outlook, Watch and Liquidity
- Disclosure on the Complexity of Rated Instruments

## Rating Sensitivities

### POSITIVE SENSITIVITIES

Events that could collectively lead to a positive rating action are

- Improved order execution and steady inflow of orders, and
- Improvement in the consolidated scale of operations and EBITDA margin, a
- Diversification of the order book
- Improved operational cash flows and liquidity
- Steady improvement in credit metrics with net leverage remaining below 3.0x; all factors on a sustained basis will be positive for the ratings.

### NEGATIVE SENSITIVITIES

Events that could, individually or collectively, lead to a negative rating action are

- Low pace of order execution or lack of order inflow, resulting in concentration of the order book
- Decline in the consolidated scale of operations and EBITDA margin,
- Deterioration in liquidity profile
- Weakening of credit metrics with net leverage remaining above 4.0x on a sustained basis will be negative for the ratings.

## About the Company

Viviana Power Tech Limited (VPTL), incorporated on 30 December 2014, was converted into a public limited company on 14 May 2022. It is an Indian public limited company initially listed on NSE Emerge and subsequently migrated to the NSE main board on June 02, 2026, and operates in the electrical infrastructure and EPC sector. VPTL is headquartered in Vadodara, Gujarat. VPTL is a promoter-driven company with the Choksi family holding a controlling stake. It has promoter and promoter group shareholding of approximately 70.79%, and public shareholding of approximately 29.21% as of June 30, 2026. The company's core operations include supply, erection, testing, and commissioning of transmission lines and EHV substations; establishment of distribution networks and underground cabling; turnkey electrical EPC projects covering civil and electrical works; and upgradation or modification of existing power systems.

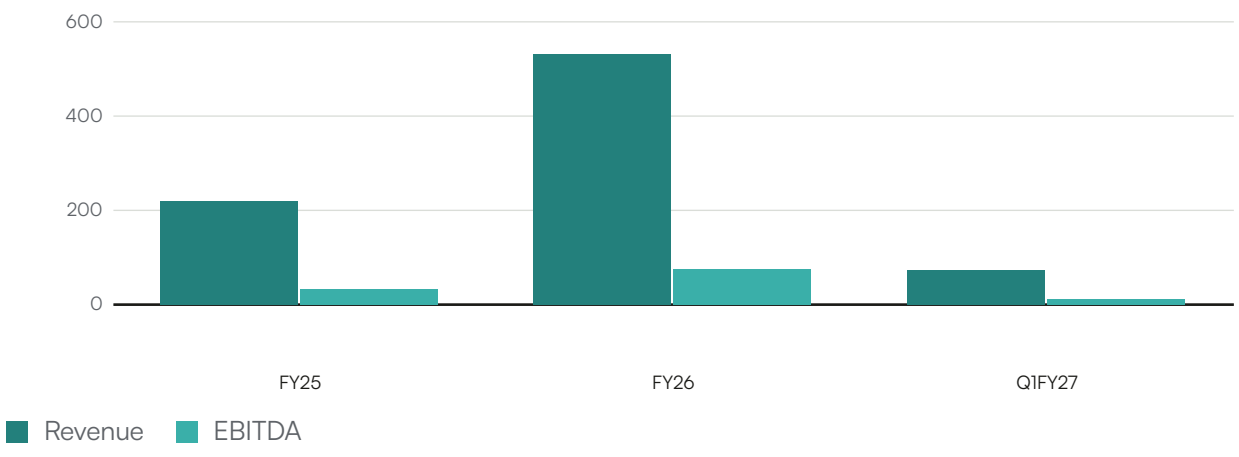
## Financial Snapshot (Consolidated)

EXHIBIT 2 **Financial Snapshot (Consolidated)**

| Particulars | FY25 | FY26 | Q1FY27 |
|---|---|---|---|
| Revenue (INR crore) | 218.96 | 531.25 | 72.39 |
| EBITDA (INR crore) | 32.18 | 75.91 | 11.37 |
| EBITDA margin (%) | 14.70% | 14.29% | 15.70% |
| Interest coverage ratio (x) | 8.58 | 7.75 | 3.00 |
| Net adjusted leverage (x); annualised | 1.55 | 1.30 | - |
| PAT margin (%) | 9.03% | 10.06% | 8.30% |

Source: VPTL, ACER; results consolidated since FY25

EXHIBIT 3 **Chart of the preceding exhibit**




## Any Other Information

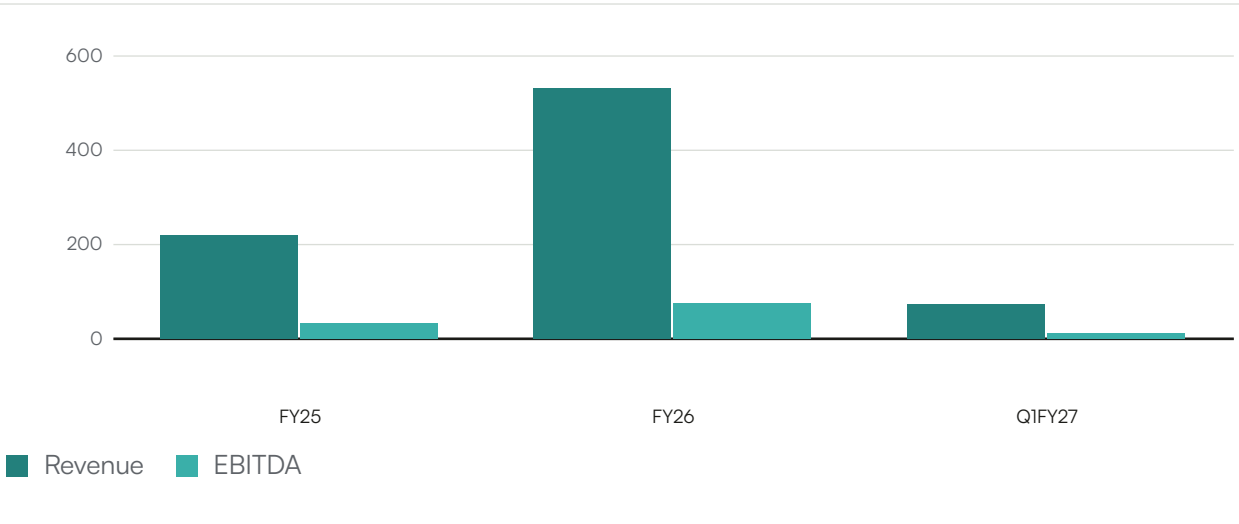
### Financial Snapshot (Standalone)

EXHIBIT 4 **Financial Snapshot (Standalone)**

| Particulars | FY25 | FY26 | Q1FY27 |
|---|---|---|---|
| Revenue (INR crore) | 188.37 | 501.67 | 71.86 |
| EBITDA (INR crore) | 26.10 | 71.49 | 11.56 |
| EBITDA margin (%) | 13.86% | 14.25% | 16.09% |
| Interest coverage ratio (x) | 7.5 | 7.16 | 3.15 |
| Net adjusted leverage (x); annualised | 1.10 | 1.29 | - |
| PAT margin (%) | 9.03% | 10.00% | 9.65% |

Source: VPTL, ACER

EXHIBIT 5 **Chart of the preceding exhibit**



**Status of non-cooperation with previous CRA**

None

## Rating History for the Last Three Years

EXHIBIT 6 **Rating History for the Last Three Years**

| Instrument type | Rating type | Rated limits (INR crore) | Current ratings | Historical rating/ Outlook/ Watch FY2026 (06 March 2026) | Date of last Rating Rationale | Date of last Rating Rationale |
|---|---|---|---|---|---|---|
| Non-Convertible Debenture | Long-term | 45.00 | ACER BBB (Stable) | ACER BBB (Stable) | - | - |
| Non-Convertible Debenture (unallocated) | Long-term | 55.00 | ACER BBB (Stable) | ACER BBB (Stable) | - | - |

## Complexity Level of Rated Instruments

EXHIBIT 7 **Complexity Level of Rated Instruments**

| Instrument type | Complexity indicator |
|---|---|
| Non-Convertible Debenture | Simple |

The complexity level reflects the relative ease of understanding the structure and expected cash flows of a rated instrument. It is not a measure of credit risk, which is indicated separately by the credit rating assigned by ACER. For details on ACER's Complexity of Rated Instruments, please refer to the relevant policy available on ACER's website: Click here

## Annexure I: Details of Instruments

EXHIBIT 8 **Annexure I: Details of Instruments**

| Name of Facility | ISIN | Date of Allotment | Coupon Rate | Maturity Date | Size of Facility (INR Crore) | Listing Status | Rating/ Outlook |
|---|---|---|---|---|---|---|---|
| Non-Convertible Debenture (NCD) | INE0MEG07011 | 11-03-2026 | 12.00% | 11-03-2028 | 25.00 | Listed | ACER BBB (Stable); Reaffirmed |
| Non-Convertible Debenture (NCD) | INE0MEG07029 | 21-05-2026 | 12.00% | 21-05-2028 | 20.00* | Listed | ACER BBB (Stable); Reaffirmed |
| Non-Convertible Debenture (NCD): Unallocated | - | To be allotted | - | To be allotted | 55.00 | - | ACER BBB (Stable); Reaffirmed |

*Out of the signed issuance of INR25 crore, INR20 crore was issued

## Annexure II: Facility-wise lender details

EXHIBIT 9 **Annexure II: Facility-wise lender details**

| Lender Name | Facility Name | Amount (INR crore) | Rating/ Outlook |
|---|---|---|---|
| Privately placed | Non-Convertible debenture | 45.00 | ACER BBB (Stable) |
| Unallocated | Non-Convertible debenture | 55.00 | ACER BBB (Stable) |

## Annexure III: Detailed explanation of covenants of the rated Security:

EXHIBIT 10 **Annexure III: Detailed explanation of covenants of the rated Security:**

| Particulars | Details |
|---|---|
| Type of Instrument | Secured, Rated, Redeemable, Taxable, Transferable, Non-Convertible Debentures |
| Nature of Instrument | Secured |
| Personal Guarantee | Irrevocable and Unconditional Personal Guarantee of Promoters |
| Issue Size | Base Issue, INR 25 crore (of which INR 25 crore issued); Green Shoe, INR 25 crore (of which INR 20 crore is issued) |
| Mode of Issue | Private Placement |
| Issue Price | INR 10,000 |
| Coupon Rate | 12.00% p.a. |
| Coupon Payment Frequency | Monthly |
| Tenor | 24 months from the Deemed date of Allotment |
| End Use | For meeting working capital requirements and for general corporate purposes |
| Security & Security Cover | Pari Passu charge on receivables, ensuring cover of 1.25x of the principal outstanding by way of hypothecation in favour of the Debenture Trustee In case of any shortfall in the security cover, the issuer shall be obliged to create a Fixed Deposit (FD) to maintain the required security cover of 125%. Debt Service Reserve Account (DSRA) with funds equivalent to 5% of the allotment amount to be maintained in the form of cash/ fixed deposit. In case of the utilisation of DSRA as mentioned above, the issuer must replenish the required DSRA account within T+7 days. |
| Financial Covenants | • Total Debt/Equity ratio does not exceed 2.25x • Earnings: After-tax Net Income (excluding extraordinary income) to remain above INR 18 crore yearly. • Maintain a minimum Tangible Net Worth of INR 65 Crore • Maintain a Debt Service Coverage Ratio of 2.50 times • All Financial covenants would be tested every quarter, i.e. as on 31st March, 30th June, 30th September and 31st December every year starting from 31st March, 2026, till the redemption of debentures |

## Annexure IV: List of companies considered for consolidation:

EXHIBIT 11 **Annexure IV: List of companies considered for consolidation:**

| Company Name | VPTL's Shareholding | Extent of Consolidation |
|---|---|---|
| Viviana Engineering Private Limited (VEPL) | 100% | Full consolidation |
| Asoj Energy Storage Systems Private Limited (AESSPL) | 100% | Full consolidation |

# Annexure V: List of activities/instruments and names of regulators

## A. Rating Activity

EXHIBIT 12 **A. Rating Activity**

| S. No. | Instrument/Activity Name | Regulator of the instruments |
|---|---|---|
| 1 | Listed/Proposed to be listed bonds/debentures/preference shares (all securities) | SEBI |
| 2 | Unlisted/Proposed to be unlisted Bonds/Debentures/ Preference share (all securities) | MCA |
| 3 | Listed PTCs / Securitisation Notes (originated by entities not regulated by RBI)* | SEBI |
| 4 | Fixed Deposits raised by Banks | + |
| 5 | Fixed Deposits raised by corporates other than NBFCs, Banks, HFCs, FIs | MCA |
| 6 | Inter Corporate Deposits/Loans extended by Corporates | MCA |
| 7 | Borrowing programme ~ | - |
| 8 | Issuer Ratings # | - |
| 9 | Credit Ratings for Capital Protection Oriented Schemes (by Mutual Funds and AIFs) | SEBI |
| 10 | Credit quality ratings (CQRs) for Mutual Fund Schemes and Schemes of AIFs | SEBI |
| 11 | Expected Loss Ratings (for Loan Facilities (Fund/Non-Fund Based) from Bank/ NBFCs/NHB/Fis) | + |
| 12 | Expected Loss Ratings (Listed/Proposed to be listed bonds/debentures/preference share (all securities)) | SEBI |
| 13 | Expected Loss Ratings (Unlisted/Proposed to be unlisted Bonds/Debentures/ Preference share (all securities)) | MCA |
| 14 | Unlisted PTCs / Securitisation Notes (originated by entities not regulated by RBI) * | Investor-side regulator such as IRDAI, PFRDA @ |

* Includes securitisation transactions involving assignee payout, acquirer's payout.

~ The rated instrument may involve issuance of different instruments such as debt securities (listed or otherwise), commercial paper (listed or otherwise), etc. The regulator of the instrument may accordingly be SEBI or MCA and can only be determined upon issuance. In PRs subsequent to issuance(s), ACER Credit Rating shall separately capture the rated quantum details along with names of respective regulators.

# There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

@ These ratings were assigned during regulatory regime prior to introduction of SEBI CRA Circular dated Feb 10, 2026 and the investor side regulators have accordingly been included.

+ To be finalized following a discussion with the regulatory authorities.

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

## B. Other activities:

EXHIBIT 13 **B. Other activities:**

| S. No. | Activity Name | Regulator of the activity |
|---|---|---|
| 1 | Monitoring Agency | SEBI |
| 2 | Research activities, incidental to rating, such as research for Economy, Industries and Companies @ | NA |

@permitted by SEBI vide SEBI Master Circular for CRAs.

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